

Model Exit Exam for Economics Students, 2023

Multiple Choice Questions

1. Which one of the following is false
 - [A] The key idea behind regression analysis is the statistical dependence of the explained and explanatory variable.
 - [B] The objective of regression is to estimate exact value of the dependent variable.
 - [C] The success of regression depends on the availability of appropriate data.
 - [D] Econometrics models are stochastic.
2. The least square method
 - [A] Is a technique used to find the actual regression equation.
 - [B] Uses sample data to find the values of slope coefficients.
 - [C] Give estimates with the maximum variance
 - [D] All

The following data were collected on the height(in inches) and weight(in pounds) of female workers in students' cafeteria of Bahir Dar University.

Height	68	64	62	65	66
Weight	132	108	102	115	128

Given this information, answer the following five questions

3. The appropriate relationship between height and weight appears to be
 - [A] Linear
 - [B] Quadratic
 - [C] Cubic
 - [D] indeterminate
4. If you fit a regression equation $weight = b_0 + b_1 height$, then the value of b_0 is
 - [A] 23.33
 - [B] 33.33
 - [C] 43.33
 - [D] 13.33
5. The value of b_1 is
 - [A] 0.88
 - [B] -0.88
 - [C] 1.88
 - [D] -1.88
6. The relationship between height and weight is
 - [A] Positive
 - [B] Negative
 - [C] Indeterminate
7. If the worker's height is 63 inches, her estimated weight will be
 - [A] 86
 - [B] 96
 - [C] 106
 - [D] 108

8. The meaning of b_0 in this equation
- [A] There are workers with no height but have certain weight
 - [B] There are workers with no height and weight
 - [C] It gives no sense
 - [D] None
9. A model estimated based on a narrow data (small sample) is [most] likely to suffer
- [A] Autocorrelation
 - [B] Multicollinearity
 - [C] Heteroscedasticity
 - [D] Dummy variable trap
 - [E] None of the above
10. All of the following are true, with the exception of one condition:
- [A] a high R^2 or $\bar{R}^2$ does not mean that the regressors are a true cause of the dependent variable
 - [B] a high R^2 or $\bar{R}^2$ does not mean that there is no omitted variable bias
 - [C] a high R^2 or $\bar{R}^2$ always means that an added variable is statistically significant
 - [D] a high R^2 or $\bar{R}^2$ does not necessarily mean that you have the most appropriate set of regressors
 - [E] All of the above
11. Consider the following regression output where the dependent variable is test score [testscores] and the two explanatory variables are the student-teacher ratio [STR] and the percent of English learners [PctEL]: $\widehat{\text{TestScore}} = 698.9 - 1.10\text{STR} - 0.650\text{PctEL}$. If you are told the t-statistic on the student-teacher ratio coefficient is 2.56. The standard error, therefore, is approximately
- [A] 0.25
 - [B] 1.96
 - [C] 0.650
 - [D] 0.43
 - [E] None
12. The dummy variable trap is an example of
- [A] imperfect multicollinearity
 - [B] perfect heteroscedasticity
 - [C] perfect multicollinearity
 - [D] perfect autocorrelation
 - [E] none of the above
13. Consider the multiple regression model with two regressors X_1 and X_2 , where both variables are determinants of the dependent variable. You first regress Y on X_1 only and find no relationship. However when regressing Y on X_1 and X_2 , the slope coefficient $\hat{\beta}_1$ changes by a large amount. This suggests that your first regression suffers from
- [A] *heteroskedasticity*
 - [B] *perfect multicollinearity*
 - [C] *omitted variable bias*
 - [D] *dummy variable trap*
 - [E] *autocorrelation*
14. Suppose a student-researcher seeks your help in solving a serious multicollinearity her model is suffering from – what element may your advice package contain?
- [A] Increase sample size
 - [B] Use extraneous information, if available

20. Correlation of the values of variables with values of the same variables lagged one or more time periods backs is called

[A] multicollinearity

[D] variance inflation factor

[B] a transformation variable

[E] interaction dummy

[C] autocorrelation

Suppose you are given the following regression output from your computer lab. The dependent variable is per capita household income from agriculture (income_agri) of 400 rural households in Amhara region with multiple covariates you are familiar with.

Source	SS	df	MS	Number of obs = 400		
Model	5587878.04	?	?	F(-, -)	= ?	
Residual	2124728.44	?	?	Prob > F	= 0.0000	
				R-squared	= 0.7245	
				Adj R-squared	= ?	
Total	7712606.48	?	?	Root MSE	= 73.906	

income_agri	Coef.	Std. Err.	t	P> t	[95% Conf. Interval]	
age	-1.268985	.2786812	-4.55	0.000	-1.816895	-.7210748
credit_amount	.1399672	.0208666	6.71	0.000	.0989418	.1809926
credit_yesno	-11.83391	36.49339	-0.32	0.746	-83.58287	59.91505
familysize	-6.260034	1.460723	-4.29	0.000	-9.131935	-3.388134
farm_size	23.15674	4.610971	5.02	0.000	14.0912	32.22229
farmland_number	-5.442165	5.758315	-0.95	0.345	-16.76348	5.879149
fert_amount	.2240672	.1893166	1.18	0.237	-.1481446	.5962789
fert_yesno	-35.73111	29.93359	-1.19	0.233	-94.58298	23.12075
ox_yesno	98.48887	10.26016	9.60	0.000	78.31656	118.6612
sex	-11.70271	8.315411	-1.41	0.160	-28.05148	4.646059
_cons	180.9099	16.41545	11.02	0.000	148.6358	213.184

Given the above information, answer the following 4 questions

21. Degrees of freedom of the ESS and RSS respectively are:

[A] 9 & 389

[C] 11 & 399

[E] 398 & 12

[B] 10 & 389

[D] 12 & 399

22. Calculated value of the F statistic is

[A] 558.78

[C] 102.30

[E] 306.72

[B] 54.62

[D] 167.91

23. Adjusted R-squared of the model

[A] 73.41%

[C] 72.45%

[E] indeterminate

[B] 28.26%

[D] 71.74%

24. Which one of the following is true?

[A] Age is statistically insignificant at 1% level of significance

[B] Sex is statistically significant at 10% level of significance

[C] *Ceteris paribus*, the partial effect of family size is counterproductive at 1% level

[D] *Ceteris paribus*, on the average, the partial effect of fert_amount on income_agri is about 0.224

[E] All variables are statistically significant despite variations in the level of α

25. One of the following is true about the unit root test for stationary of variable (Y_t) given by:

$$\Delta Y_t = \alpha Y_{t-1} + u_t \quad \text{where } u_t \text{ is white noise.}$$

- [A] The null hypothesis (that $H_0 : \alpha = 0$) implies stationarity.
- [B] The alternative hypothesis should be expressed as: $H_1 : \alpha \neq 0$.
- [C] We reject the null hypothesis if the calculated t-statistic is greater than the ordinary critical t-value.
- [D] This test procedure is called Augmented Dickey-Fuller (ADF) test.
- [E] None of the above

26. The reason why developing countries have high dependency ratio as compared to developed countries is that

- A. There is more economically active population in developing countries
- B. Developing countries have more old dependants
- C. Developing countries have population pyramid wider at the top
- D. Developing Countries have more young population than developed countries

27. Why do you think alternative measures of development are developed?

- A. To address income distribution
- B. To measure availability of social services
- C. To incorporate human element of development
- D. All of the above

28. According to the principle of Gini coefficient, the value closer to one indicates

- A. High Equality
- B. Low Inequality
- C. High Inequality
- D. perfect Equality

29. The implication of A. Lewis unlimited supply of labour in traditional agriculture is that

- A. Marginal productivity of agriculture is high
- B. C. Capitalists raise wages to attract labour
- C. Marginal productivity of agriculture declines as labour transfers to other sectors
- D. None

30. According to Harrod-Domar growth model,

- A. Investment is critical for growth
- B. Saving is less important for growth
- C. Capital-output ratio affects growth directly
- D. Increasing saving is enough for growth

31. According to low level of equilibrium trap theory, countries get trapped at low level due to

- A. Poverty
- B. An increase in per capita income
- C. A decrease in population

- D. D. None
32. Informal sector is advised to be promoted for one of the following reasons.
- A. Low capital intensity
 - B. Use of imports
 - C. Provision of formal training
 - D. Creation of unemployment
33. Consider Rostow's economic growth stages, at which stage do you think Ethiopia is found?
- A. Drive to maturity
 - B. Preparation for take-off
 - C. take off
 - D. Traditional stage
34. Which one is not part of vicious circle of poverty?
- A. Productivity
 - B. Per Capita Income
 - C. Saving
 - D. Capital-output ratio
35. Which one is a measure of an absolute but not a relative poverty?
- A. Subjective poverty
 - B. Living on less than US\$1.90 per day
 - C. People living above poverty line
 - D. Lorenz Curve
36. Why do you think developing countries export less but import more?
- A. Developing countries' exports are price elastic
 - B. Imports are Primary
 - C. Developing countries' exports are income inelastic
 - D. None
37. Which ones are not typical features of rural-urban interaction?
- A. Flow of information
 - B. Flow of people
 - C. Flow of waste
 - D. None
38. Agriculture played an important role as a source of capital at the early stage of development of many developed countries. This is because of the fact that
- A. There were more urban population
 - B. There was no surplus in other sectors
 - C. Industrial population was bad at saving
 - D. Agriculture developed before industry

39. Which one is not a feature of foreign debt?
- A. It is owed only to foreign governments
 - B. It comes from foreign aid
 - C. It leads to growth crisis
 - D. D. it has its own debt service mechanism
40. In developing countries informal sector is typically characterized by the following except that
- A. It provides surplus for urban economy
 - B. It is unorganized sector
 - C. It creates waste and does not recycle it
 - D. it is created by migration
41. One of the reasons why FDI is preferred to Aid is that FDI
- A. Entails less principal payment
 - B. Offers Cheaper option
 - C. Empowers retail trade
 - D. Entails no interest payment
42. Among the following one is not the consequence of population growth.
- A. More education
 - B. Inequality
 - C. Environmental challenge
 - D. None
43. What are the main contributions of agriculture identified by Kuznets?
- A. Contribution of Capital
 - B. Contribution of wage goods
 - C. Contribution of market
 - D. All of the above
44. What type of strategy is producing cars for local use?
- A. Export substitution strategy
 - B. Outward-looking strategy
 - C. Inward-looking strategy
 - D. Export Substitution
45. Among the following one is neither domestic nor foreign resource gap.
- A. Foreign exchange deficit
 - B. Gap between savings and investment
 - C. Fiscal Deficit
 - D. Deficit Financing

46. The basic aggregate supply equation implies that output exceeds natural output when the price level is:
- A. Less than the expected price level.
 - B. Greater than the expected price level.
 - C. Equals to the expected price level
 - D. All
47. The IS curve illustrates that when income increases, the
- A. Interest rate must fall to restore equilibrium in the goods market.
 - B. Interest rate must rise to restore equilibrium in the asset market.
 - C. Interest rate must rise to restore equilibrium in the goods market.
 - D. Interest rate must fall to restore equilibrium in the asset market.
48. Consider a small economy where the total population is 10,000. The size of the labor force is 8,000, while the number of people employed is 7,000. What is the unemployment rate in this economy?
- A. 10%
 - B. 12.5%
 - C. 20%
 - D. 37.5%
49. Suppose that investment (I) in the goods market is not responsive to the interest rate (that is, Investment does not depend on the interest rate at all). Then
- A. The IS curve is a vertical line and monetary policy is very effective in raising output.
 - B. The IS curve is a horizontal line and monetary policy is very effective in raising output.
 - C. The IS curve is a vertical line and monetary policy does not affect output in the IS-LM model.
 - D. The IS curve still has a negative slope, but monetary policy monetary policy does not affect output in the IS-LM model.
50. If the economy is on the LM curve but not on the IS curve, then we know that
- A. The good market is in equilibrium, but not the money market.
 - B. The money market is in equilibrium, but not the goods market.
 - C. the money, and goods markets are all in equilibrium;
 - D. Neither the money, bond, nor goods markets are in equilibrium.
51. The aggregate demand curve generally slopes downward and to the right because, for any given money supply M a higher price level P causes a _____ real money supply M/P , which _____ the interest rate and _____ spending.
- A. higher; lowers; increases
 - B. lower; raises; reduces
 - C. higher; raises; reduces
 - D. lower; lowers; increases
52. Under fixed exchange rate regime if the equilibrium exchange rate initially exceeds the fixed level:

- A. Arbitrageurs will buy foreign currency in foreign-exchange markets and sell it to the Fed for a profit.
 - B. Arbitrageurs will buy domestic currency in foreign-exchange markets and sell it to the Fed for a profit.
 - C. This process automatically decreases the money supply, shifting the LM* curve to the right and lowering the exchange rate.
 - D. None
53. The life-cycle theory of consumption can be summarized as follows:
- A. people always tend to consume almost all their current income
 - B. people want instant gratification and seldom worry about the future
 - C. people plan their consuming and saving patterns to optimize the lifetime benefit from their income
 - D. retired people need less so they can save more than working people
54. The statement “the yen rose today from 121 to 117” makes sense because
- A. The U.S. gains when Japan loses.
 - B. These numbers measure yen per dollar, not dollars per yen.
 - C. These numbers are indexes, defined relative to a base of 100.
 - D. The yen is a reserve currency.
55. Which of the following best describes how an increase in the money supply shifts the aggregate demand curve?
- A. The money supply shifts right, prices fall, spending increases, and the aggregate demand curve shifts right.
 - B. The money supply shifts right, the interest rate rises, investment decreases, and the aggregate demand curve shifts left.
 - C. The money supply shifts right, the interest rate falls, investment increases, and the aggregate demand curve shifts right.
 - D. The money supply shifts right, prices rise, spending falls, and the aggregate demand curve shifts left.
56. If the firm hires to a point where the marginal expense of labor is greater than the marginal revenue product of labor, then
- A. Profits could be increased by increasing employment.
 - B. profits could be increased by reducing employment
 - C. Profits are maximized.
 - D. total cost must be greater than total revenue
57. According to the basic classical model, an increase in the money supply will cause
- A. Employment to increase.
 - B. Investment to increase.
 - C. Output to increase.
 - D. The price level to increase.
 - i. Which two of the following are likely to reduce investment expenditure?
- A. Lower initial capital outlays on projects

- B. A rise in the rate of interest
 - C. A fall in the rate of interest
 - D. More favorable business expectations and less uncertainty
58. A profit-maximizing firm will invest up to the level of investment where:
- A. The cost of borrowing equals the marginal efficiency of capital
 - B. The cost of borrowing is greater than the marginal efficiency of capital
 - C. The cost of borrowing is less than the marginal efficiency of capital
 - D. The cost of borrowing equals the marginal propensity to consume
59. Which one of the following causes increase in the demand for money at any interest rate r ?
- A. An increase in real GDP
 - B. An increase in the price level,
 - C. An increase in transfer costs
 - D. All
60. Which of the following reasons contributes to the growth slowdown in capital accumulation and output per worker under the Solow growth model?
- A. Constant population growth rate
 - B. Constant saving rate
 - C. Diminishing marginal product of capital
 - D. No technological progress
61. Which of following statements is true?
- A. In the Solow growth model with positive population growth rate n , output per worker grows forever at the rate n in the steady state.
 - B. In both Solow and endogenous growth models, the higher the saving rate, the higher the growth rate of output.
 - C. In the endogenous growth model, output grows forever.
 - D. None of the statements
62. Suppose the saving rate is initially greater than the golden rule saving rate. We know with certainty that an increase in the saving rate will cause
- A. An increase in the rate of growth in the long run.
 - B. A reduction in output per worker.
 - C. A reduction in consumption per worker.
 - D. All of the above
63. In the basic endogenous growth model, the production function exhibits
- A. Decreasing returns.
 - B. Constant returns.
 - C. Increasing returns.
 - D. None of the above.
64. _____ is equal to the total market value of the firm's common stock divided by the replacement cost of the firm's assets.

- A. Book value per share
- B. Tobin's Q
- C. Liquidation value per share
- D. Market value per share
- E. Assume that the total long run cost functions of the monopolist is given by

$C = Q^2 + 8Q$. Determine the elasticity of LAC with respect to Q.

- A) $\frac{2Q+8}{Q+8}$ B) $\frac{2Q+8}{Q}$ C) $\frac{Q}{Q+8}$ D) $\frac{Q^2+8Q}{Q}$

65. Given $Q(K, L) = K^{\frac{1}{3}} L^{\frac{2}{3}}$ what will be the MRTS(L,K) if the two factors of production are scaled up by a factor of λ ?

- A) $\frac{\lambda^2 MPP_L}{\lambda MPP_K}$ B) $\frac{\lambda^2 2K}{L}$ C) $\frac{2K}{L}$ D) $\frac{\lambda^2 MPP_L}{2\lambda MPP_K}$

66. If the utility function is given by $U(x_1, x_2) = x_1^2 x_2$ where consumption of both commodities is subject to a certain tax rate t which is defined by the relation $x_1 = t^2$ and $x_2 = 3t - 1$, then obtain $\frac{dU}{dt}$.

- A) $15t^4 - 4t^3$ B) $\frac{15t^4 - 4t^3}{2}$ C) $10t^4 - 4t^3$ D) $\frac{15t^4 - 4t^3}{2x_1}$

Given the following demand and supply functions of the Cobweb model

$$Q_d = 400 - 20P_t$$

$$Q_s = -50 + 10P_{t-1}$$

Answer the following two questions.

67. The long run or equilibrium price of the model is

- A) 15 B) $\frac{1}{2} \left(\frac{-10}{20} \right)^t$ C) -5 D) $A \left(\frac{-10}{20} \right)^t$

68. The general solution of the model is given by

- A) It has no general solution. B) 15 C) $A \left(\frac{-10}{20} \right)^t$ D) $P_{(t)} = A \left(\frac{-10}{20} \right)^t + 15$.

69. . For a given LAC and LMC curves of a firm operating under perfectly competitive market which of the following is **true**?

A) If $LMC < LAC$, then LAC is rising.

B) Elasticity of total cost to output is obtained from dividing LAC by LMC.

C) If $LMC < LAC$, then Elasticity of total cost to output will be less than 1 and implies the firm is having economies of scale.

D) When elasticity of cost to output is greater than 1, the firm is experiencing economies of scale.

70. The value of k bottles of wine is given by $V(t) = ke^{\sqrt{t}}$. If the discounting rate is $D(t) = e^{-rt}$, then the present value, $PV(t)$, of $V(t)$. is given by

A) $PV(t) = e^{-rt}$ B) $PV(t) = ke^{\sqrt{t}}e^{-rt}$ C) $PV(t) = \frac{1}{e^{rt}}$ D) $PV(t) = \frac{1}{ke^{\sqrt{rt}}}$

71. Which of the following statements is **not correct**?

A) The relationship between MR and P expressed as $MR = P\left(1 - \frac{1}{E_p}\right)$, where E_p is own price elasticity of demand, can be used to express the relation between MR and P for perfectly competitive firm.

B) A monopolist firm always operates on that section of the market demand curve with $|E_p|$ greater than 1.

C) Given $TR = R(Q)$, and $Q = f(L, \bar{K})$ short run production function, then $\frac{\partial TR}{\partial L}$ measures marginal revenue.

D) The solution to a linear differential equation is a function.

72. Given production function $Q = 10K^{0.5}L^{0.5}$. If output is restricted to atleast 200 units; $P_L = 10 \text{ birr}$ and $P_K = 40 \text{ birr}$ then determine the amount of K and L to be employed at minimum cost. That

is
$$\begin{aligned} \min \quad & C = 40K + 10L \\ \text{s.t.} \quad & 200 \geq 10K^{0.5}L^{0.5} \end{aligned}$$

A) $K^* = 10$ and $L^* = 80$ B) $K^* = 10$ and $L^* = 40$ C) $K^* = 5$ and $L^* = 20$

D) $K^* = 20$ and $L^* = 5$

73. Based on question number 7, obtain $\frac{\partial C^*}{\partial Q}$ where $C^* = C(K^*, L^*)$.

A) 8.94 B) 2.24 C) 4.47 D) 4.

74. Which of the following about the relationship between marginal utility and price is correct?

- A. The marginal utility of a commodity or service must be equal to its price to ensure maximum satisfaction of the consumer
- B. The marginal utility of a commodity or service must be greater than its price to ensure maximum satisfaction of the consumer
- C. The marginal utility of a commodity or service must be lesser than its price to ensure maximum satisfaction of the consumer
- D. There is no relationship between the marginal utility of a commodity or service and its price

75. Which of the following is an implicit cost for a firm? The cost

- A. of workers' wage and salary of for the firm
- B. paid for leasing a building for the firm
- C. paid for production supplies for the firm
- D. of wages forgone by the owner of the firm

76. In short run, diminishing marginal returns are implied by

- A. Rising marginal cost
- B. Rising average cost
- C. Rising average variable cost
- D. All

77. Given production function $Q=150KL$ and price of inputs Labor and capital as respectively are 2.5 and 6 birr where the total cost of a firm is 3000 birr. Then the optimum combination of L and capital respectively is

- A. 250 and 600
- B. 480 and 300
- C. 300 and 480
- D. 600 and 250

78. Profit-maximizing firms want to maximize the difference between

- A. Total revenue and marginal cost
- B. Total revenue and total cost.
- C. Marginal revenue and marginal cost.
- D. Marginal revenue and average cost.

79. If the price of an input on the horizontal axis increases, all other factors remain constant then:

- A. The isocost line will shift to the left

- B. The isocost line will shift to the right
 C. The isocost line will be more steeper than before
 D. The isocost line will be more steeper than before
80. In perfectly competitive market factor is not exploited. This is because :
 A. Its paid exactly its value of marginal product (VMPL)
 B. Its paid exactly its marginal revenue product (MRPL)
 C. Less than its marginal revenue product (MRPL)
 D. More than its value of marginal product (VMPL)
81. Which of the following effect of asymmetric information that results in a situation in which bad quality products drive out good quality products in the market is referred to as:
 A. Signaling.
 B. Moral hazard.
 C. Adverse selection.
 D. Symmetric information.
82. A firm in perfectly competitive market faced with the condition in which Value of marginal product of labor (VMPL) $>$ W (Wage) will decide to :
 A. Increasing the size of labor
 B. Increase the size of capital
 C. Decrease the size of labor
 D. Maintain the level of labor that it currently operating with
83. Demand for labor by a monopolist using several variable factors (say L and K) is not MRP_L this is because:
 A. Change in wage rate affects Marginal physical product of labor (MPP_L)
 B. Change in wage rate affects Marginal Revenue Product of Labor (MRP_L)
 C. Change employment of capital due to change wage rate affects MRP_L
 D. All of the above
84. Which of the following is an example of non-collusive sequential game
 A. Cournot's duopoly model
 B. Stackelberg's duopoly model
 C. Price leadership by low cost firm
 D. Price leadership by dominant firm

Answer question number 20 and 21 based on the following payoff matrix

		Firm 2	
		Cheat	Cooperate
Firm 1	Cheat	300, 300	800, 200
	Cooperate	200, 800	600, 600

Cooperate

85. What is the dominant strategy of firm 1 and firm 2 respectively?
- A. Cheat, Cooperate
 - B. Cooperate, Cooperate
 - C. Both Cheat and Cooperate
 - D. Cheat , Cheat
86. Identify the wrong statement
- A. With positive externality a decision maker underestimates cost and produces more than what the society demands.
 - B. Inefficiency created by negative externality is greater than that of created by positive externality.
 - C. Positive externality imposes costs but negative externality benefits others.
 - D. Negative externality results in over production.
87. If an individual has back ward bending supply curve, we know that he or she
- A. Sees income and leisure as perfect substitute
 - B. Has a supply curve that slopes downward at low at low wage rates and upward at high wages rates
 - C. Has a supply curve that slopes upward at low wage rates and downward at high wage rates.
 - D. Both A and B
88. A market that is characterized by large number of sellers and differentiated product is
- A. Perfectly competitive
 - B. Monopoly
 - C. Oligopoly
 - D. Monopolistic competition
89. Which of the following is not an example of price discrimination?
- A. A cellular phone company that charges different rates for weekday and weekend service
 - B. An amusement park that charges highest price for adults than for senior citizens and children
 - C. A college that charges different tuitions (when financial aid and scholarships are included) to different students
 - D. Different movie theaters charge different tickets prices to the same movies.
90. A market that is characterized by monopolistic competition is like a monopoly in that _____, and like a perfectly competitive market in that _____.
- A. Firms face a downward sloping demand curve; there are no barrier to entry
 - B. Firms face perfectly price elastic demand curve; it has no supply curve
 - C. Firms may earn economic profits in the long run ; there is no deadweight loss
 - D. Firms break even ; firms produce with excess capacity

91. In zero profit equilibrium, the demand curve must be tangent to the average total cost curve because
- A. If any part of the demand curve lies above the average total cost curve, the firm will earn positive profits
 - B. If the demand curve lies everywhere below the average total cost curve, the firm will earn negative profit
 - C. Firms will enter or leave the industry if there are either positive profits or negative profits in the industry
 - D. All of the above
92. Which of the following is an example of negative externality?
- A. A late season rain fall damages Teff in certain woreda
 - B. The government imposes a tax in the market for Teff
 - C. Fertilizer used in the production of Teff are believed to be adversely affecting wildlife in this woreda
 - D. Many Teff producers in this woreda go bankrupt because of an increase in imported wheat
93. A good that benefits people whether or not they paid for it and whose benefits to any one individual do not depend on how many others also benefit is a(an)
- A. Private good
 - B. Public good
 - C. Common resource
 - D. Artificially scared good
94. Money allows economic efficiency as a medium of exchange through all of the following **except**
- A. Increasing freedom of choice
 - B. Avoiding double coincidence of wants
 - C. Increasing transaction costs
 - D. Allowing people to specialize
95. Central bank is basically different from commercial banks since
- A. It can extend short-term loans
 - B. It is monetary institution
 - C. It possesses the monopoly of note-issue
 - D. It can creates credit
96. Monetary theory and policy allows us to understand
- A. What money is
 - B. The money supply process

- C. How money affects economic activities
 - D. All are answers
97. The average number of times money is transferred between individuals, business firms and others in a given period of time is known as
- A. Money demand
 - B. Money supply
 - C. Velocity of money
 - D. Liquidity of money
98. One of the following is **not** variables that served as candidates for monetary policy targets
- A. Money Supply
 - B. Tax rate
 - C. Bank Credit
 - D. Interest rates
99. The process through which monetary policy decisions affect the economy in general and the price level in particular is
- A. Monetary policy environment
 - B. Velocity of money
 - C. Multiple deposit creation
 - D. Monetary transmission mechanism
100. The aggregate stock of domestic money owned by the public in a country is
- A. Money demand
 - B. Money supply
 - C. Velocity of money
 - D. Liquidity of money
101. For the banking system as a whole, deposit creation (or contraction) will stop only when
- A. All excess reserves are gone
 - B. All reserves are gone
 - C. All required reserves are gone
 - D. All currencies are gone

102. Function of money that permits the easy transfer of resources out of their less desired uses in to their more desired uses is
- A. Store of value
 - B. Standard of Deferred payment
 - C. Unit of account
 - D. Medium of Exchange
103. Goals of monetary policy in Ethiopia includes all of the following except
- A. Stability of Financial Markets
 - B. Economic Growth
 - C. Zero unemployment
 - D. Price Stability

